

typical strategy for increasing the transfer to the trust involves using the \$5 million as a down payment so that additional assets can be bought.

If, for example, you have a business worth \$10 million, you can give \$5 million to the trust and then the trust gives you back the \$5 million, along with a promissory note for another \$5 million, in return for the business. Thereafter, the trust would have to pay off the note, but it would trigger no gift or inheritance tax in the process. Had the business been earning about \$500,000 per year in profit, the numbers work easily. The owner of the business—the trust—uses the profits over a 10-year period to pay you off. At the end of the period, the trust is the full owner of the \$10 million business. No estate or gift taxes due.

But the tricks do not end there. That's where they start. For example, a minority interest in a business is subject to a discount. A business is simply not worth as much if you do not control it. So, rather than sell the business to the trust at full market price all at once, you may sell it in pieces and reduce the price of each piece to reflect the minority discount. How much of a discount can you get? It depends. But we have seen some as high as 40 percent.

Another common way to reduce the value of the assets you put into a trust is to divide them into two parts. One part is the part you assign to the trust. The other part is a "life estate," giving you the right to the income from it while you are alive. Depending on how old you are, a "life estate" or a "life interest" should substantially reduce the value of the remainder of the asset.

Remember, the goal is to reduce the value of the asset as much as possible, pay the gift tax, as necessary, and get it into the trust. Thereafter, you will pay no further gift or inheritance taxes. This won't mean anything initially. But over a couple of generations, it will be very important to you.

You will notice, too, that it is best to put assets in a trust before they become valuable. If you are starting a business, for example, put it in the trust before it has succeeded. That way, the gift tax will be low, simply because the gift isn't worth very much. Often, families have some assets that they consider good bets for growth and others that are already fully mature. Put the growth assets in the family trust.